

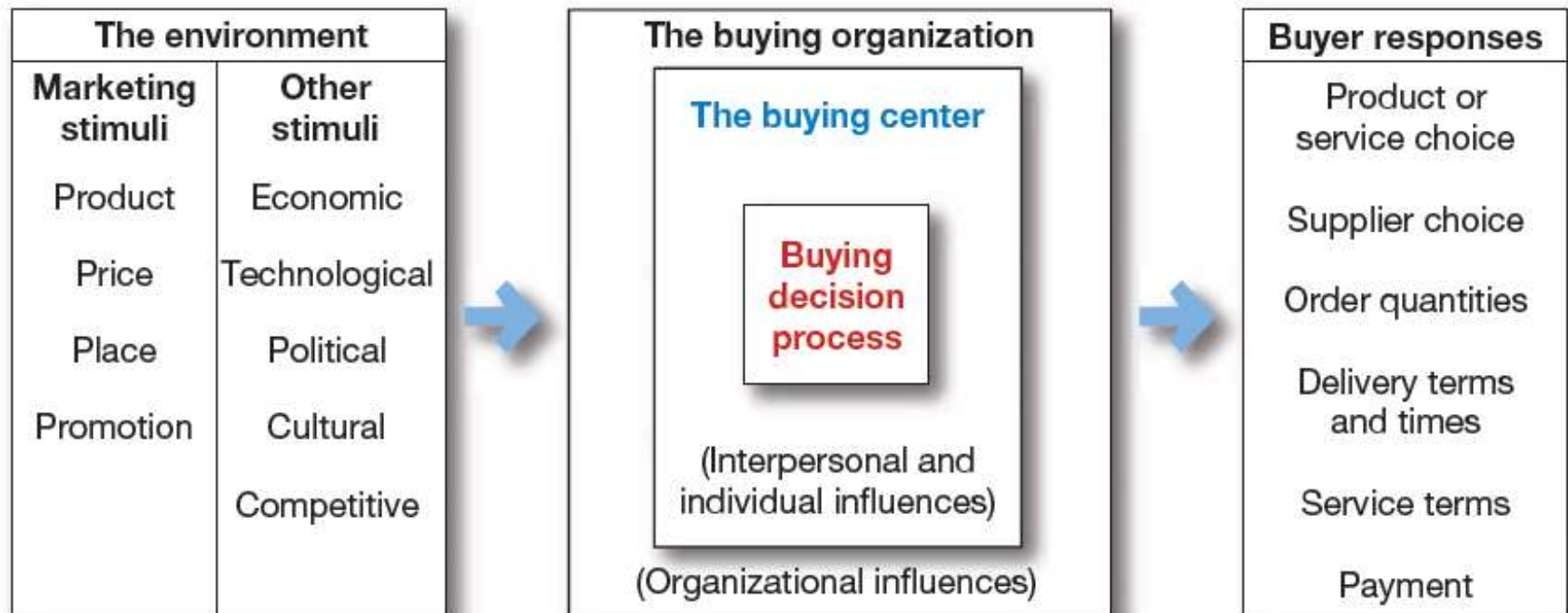
Business Markets and Business Buyer Behavior

Lecture 16

Chapter 6 Kotler

Introduction to Business Markets

- - Business markets involve transactions where organizations purchase goods and services.
- - Key differences from consumer markets: fewer buyers, derived demand, professional purchasing.
- - Example: A car manufacturer purchasing steel from a supplier.



Market Structure and Demand

- - Market Structure: Few, large buyers; complex interdependencies.
- - Derived Demand: Business demand depends on consumer demand.
- - Inelastic and Fluctuating Demand: Less price-sensitive but fluctuates with economic cycles.
- - Example: Smartphone demand increases chip production needs.

Business Buyer Behavior

- - Buying Center Concept: Decision-making unit influences purchases.
- - Roles: Users, Influencers, Buyers, Deciders, Gatekeepers.
- - Example: A hospital buying MRI machines involves multiple stakeholders.

Types of Buying Situations

- - Straight Rebuy: Routine purchase, no modifications.
- - Modified Rebuy: Some aspects change, e.g., new suppliers.
- - New Task Buying: First-time purchase, extensive decision-making.
- - Systems Selling: Buying a complete solution instead of individual components.
- - Example: ERP system purchase for a startup.

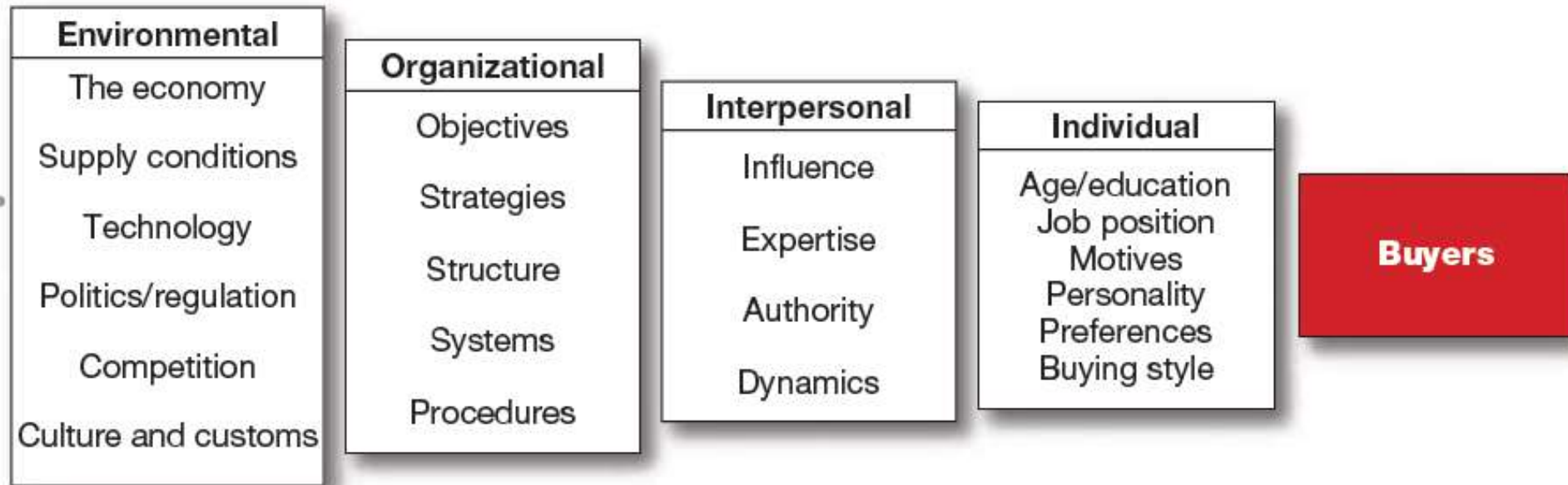
The Business Buying Process

- 1. Problem Recognition: Identifying the need.
- 2. General Need Description: Defining requirements.
- 3. Product Specification: Setting technical criteria.
- 4. Supplier Search: Evaluating suppliers.
- 5. Proposal Solicitation: Requesting supplier proposals.
- 6. Supplier Selection: Choosing the best fit.
- 7. Order-Routine Specification: Finalizing the contract.
- 8. Performance Review: Assessing supplier efficiency.

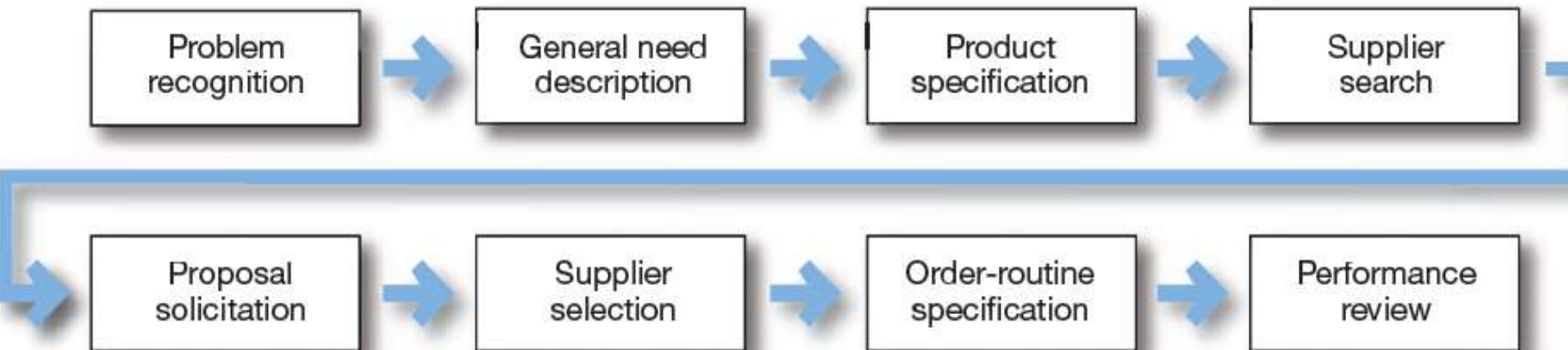
Major Influences on Business Buyers

- - Environmental: Economic trends, technology, regulations.
- - Organizational: Policies, objectives, procedures.
- - Interpersonal: Relationships within the decision-making unit.
- - Individual: Buyer experience, risk tolerance.
- - Example: Retailers shifting to sustainable suppliers due to policy changes.

Factors Influencing Business Buyer Behavior



Business Buyer Process



B2B E-Procurement and Online Purchasing

- - Rise of E-Procurement: Digital platforms streamline purchasing.
- - Methods: Reverse auctions, company buying sites, extranet links.
- - Benefits: Lower costs, better efficiency, faster transactions.
- - Example: GE using online bidding for supplier selection.

B2B Digital Marketing

- - Role in Business Transactions: Social media, email marketing, content marketing.
- - Strategies: SEO, PPC ads, LinkedIn engagement.
- - Example: IBM using AI-powered chatbots for B2B customer service.

Institutional and Government Markets

- - Institutional Markets: Schools, hospitals, nonprofits need cost-effective solutions.
- - Government Markets: Formal bidding, strict compliance.
- - Example: Defense contracts for military equipment.

Case Study: Procter & Gamble's B2B Strategy

- - Long-term supplier partnerships, data-driven decision-making.
- - Focus on sustainability and efficiency.
- - Results: Cost reduction, improved supplier relationships, innovation.
- - Key Takeaway: Relationship-building, digital adoption, and sustainability are crucial.